promotion of LGBTQ+ rights, framing them as violations of Hungarian sovereignty. In response, the EU attempted to placate Hungary by emphasizing that national governments would retain control over education and migration policies.[3]

These examples illustrate a broader dynamic: IOs often respond to populist-led states by granting concessions to secure their participation and support. Unlike other leaders who might face domestic backlash for defying international norms, populists often find that their hostility toward IOs resonates with their constituents. This political calculus makes their threats to disengage from IOs more credible. Populists' behavior creates significant challenges for IOs, which rely on member participation to remain effective and legitimate (Gray 2018). To maintain these relationships, IOs may cede ground, granting populists concessions that they can showcase as victories at home, while continuing to benefit from IO resources.

These concessions take various forms, including material incentives, fewer constraints, and increased institutional influence. For instance, in the financial sphere, institutions like the World Bank and IMF often attach stringent conditions to their loans, such as privatization mandates, budget cuts, or compliance with transparency requirements. These conditions are politically and economically costly, particularly for populists, who campaign on sovereignty and resistance to elite interference. Accepting such terms risks alienating their domestic base and contradicting their anti-elite rhetoric.

We hypothesize that populist leaders receive less onerous loan conditions from the World Bank and IMF compared with their nonpopulist counterparts, ensuring their continued engagement with these institutions. We present the results of statistical analyses of loan conditionality, which show that populists consistently secure more favorable terms.

While this dynamic helps IOs retain populist participation, it raises serious normative concerns about equity and legitimacy in global governance. By granting populists preferential treatment, IOs may appear to reward defiance while punishing compliance. This could erode the perception that IOs operate based on fairness and need, undermining their broader mandate to promote global welfare. In financial institutions, for example, conditions are designed to prevent moral hazard and ensure sustainable economic reforms (Reinsberg, Stubbs, and Kentikelenis 2022).